

Business Problem Analysis

Company Sales: <<Starbucks FY2025>>

1- Business Problem

Starbucks' profitability declined significantly during fiscal year 2025, particularly in North America. Although North America net revenue increased by approximately 1%, operating income decreased by about 41%, and operating margin declined from 19.8% to 11.5%.

2- Analytical Question

Main question:

Why did Starbucks' North America profitability decline in FY2025 despite an increase in net revenue?

We can break from it 5 analytical questions:

- A) How the profitability decrease while revenue increase?**
- B) What is the nature of the relationship between profitability and net revenue ?**
- C) What about other of the data in the data source, what's its relation to the profitability , how does it reflect to revenue?**
- D) Does the profitability decrease continuously or seasonally?**
- E) How many branches does the starbucks company have, and does each branch have its profitability decrease by the same percentage, or what?**

3- What is the data that we need to answer the 5 questions?

In data source we can look and focus on this data:

North America Revenue, Operating Income, Operating Margin, Comparable Store Sales, Comparable Transactions, Average Ticket, Store Operating Expenses, Restructuring & Impairments

these data (columns) have a relationship with profitability column and can help me to answer all of the 5 questions

4- The Data Source:

https://investor.starbucks.com/financials/quarterly-results-and-data/default.aspx?utm_source=chatgpt.com

5- What Decision Could Starbucks Make?

Starbucks should focus on improving store-level profitability by controlling operating costs, evaluating the impact of restructuring and store closures, and increasing customer transactions rather than relying primarily on higher average customer spending

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Careem Case Study:

How can Careem company use data to its advantage in?

We will answer this questions by focus on {Careem's ride-hailing service}

1- Understanding customer demand:

Careem can analyze customer data to understand how customers use its ride service.

The company can study:

- **The time when customers request rides.**
- **The days with the highest number of rides.**

- The most frequently used pickup locations.
- The most common destinations.
- The number of cancelled rides.
- Customer ratings and feedback.
- The frequency of customers' ride requests.

How does this help?

By analyzing this information, Careem can identify customer habits and preferences. For example, the company may discover that customers request more rides during certain hours or that particular areas are used more frequently.

This helps Careem understand what customers need and when they need it.

2- Travel demand analysis:

The next step is to analyze when and where the demand for rides is highest.

Careem can group ride requests according to:

- Hour of the day
- Day of the week
- Month
- Pickup area
- Destination
- Number of ride requests

Maybe the analysis would show that demand is higher during certain periods.

These periods are called peak demand periods.

Careem can perform the same analysis by location to identify areas where customers request the most rides.

How does this help?

It allows Careem to answer:

When is demand highest? and Where is demand highest?

3- Identifying peak times:

Careem can analyze the number of ride requests during different hours of the day to identify peak demand periods. By comparing the number of requests for each hour, the company can determine when customers request the most rides. For example, if the data shows that ride requests are highest between 5:00 PM and 7:00 PM, this period can be identified as a peak-demand period. Careem can then use this information to increase driver availability during these hours and reduce customer waiting times

4- Improving driver distribution:

After identifying high-demand periods and locations, Careem can compare the demand with the number of available Captains.

For example:

Time	Ride Requests	Available Captains	Average Waiting Time
10 AM	500	450	5 min
1 PM	600	550	6 min
5 PM	1,100	700	12 min
6 PM	1,400	750	15 min
7 PM	1,200	800	13 min

If the analysis shows that demand is high while the number of available Captains is relatively low, customers may experience longer waiting times.

Careem can therefore use the data to determine:

- Which areas need more Captains.

- Which hours require more Captains.
- Where there is an excess of available Captains.
- When drivers should be encouraged to become available.

How does this help?

Instead of distributing drivers equally everywhere, Careem can distribute them according to actual customer demand.

5- Supporting business decisions:

Data analysis can help Careem's management make better business decisions.

For example, if the analysis shows that:

- Ride demand increases during specific hours.
- Certain locations have much higher demand.
- Waiting times increase during peak periods.
- Ride cancellations increase when waiting times become longer.

Then management has evidence that driver availability may not be matching customer demand during certain periods.

The company can use these findings to make decisions about:

- Driver distribution.
- Peak-hour planning.
- Demand forecasting.
- Improving customer service.
- Reducing waiting times.
- Reducing ride cancellations.

How can a data analyst turn this information into a practical decision?

Careem can use data analysis to understand customer behavior, identify peak ride-demand periods and locations, and improve the distribution of Captains. By analyzing ride requests, waiting times, cancellations, and driver availability, the company can identify

situations where customer demand is higher than available driver capacity. These insights can support business decisions such as improving driver distribution, reducing waiting times, reducing cancellations, and forecasting future ride demand.